DMS201 (2026)-Quiz11

Total points: 5/5

The respondent's email (**rhalkabdulsumeer2003@gmail.com**) was recorded on submission of this term.

Name *

Roll no *

240835

✓ 1 point

Question 1: A company is 40% financed by risk-free debt. The interest rate (r_f) is 10%, the expected market risk premium (r_m−r_f) is 8%, and the beta of the company's common stock is (β) .5. What is the correct interval for the cost of equity capital (r_E, as per CAPM)? *

- ○ 11%-13%
- ○ 15%-17%
- ○ 9%-11%
- ◉ 13%-15% ✓

Feedback

Hint: CAPM formula: r_E = r_f + β * (r_m - r_f). Using the given values: r_E = 10% + 0.5 * 8% × 14%. This falls within the 13%-15% interval.

✓ 1 point

Question 2: In the previous question (1), What is the correct interval for after tax WACC, assuming that the company pays tax at a 35% rate? *

- ◉ 10%-12% ✓
- ○ 16%-18%
- ○ 16%-16%
- ○ 12%-14%

Feedback

WACC formula: (E/V * r_E) + (D/V * r_D * (1-T)). With 60% equity (E/V) and 40% debt (D/V), r_E = 14% (from Q1), and T = 35%. Using the values: WACC = (0.60 * 14%) + (0.40 * 10% * (1 - 0.35)) = 8.4% + 2.6% = 11%. This is within the 10%-12% interval.

✓ Question 3: Identify the incorrect statements * ✓ 1 point

- ◉ The company cost of capital is the correct discount rate for all projects, because the high risks of some projects are offect by the low risk of other projects. ✓
- ○ The company cost of capital is the correct discount rate for average risk projects.
- ○ Distant cash flows are riskier than near-term cash flows.

Feedback

Hint: The company cost of capital is only the correct discount rate for average risk projects. Each project idea that risks cancel out is a misconception. All other

✓ Question 4: The total market value of the common stock 1 point of the Okefenokee Real Estate Company is $6 million, and the total value of its debt is $4 million. The treasurer nd that theasury Bill rate (r_y) is 4%. Assume for simplicity that Okefenokee debt is risk-free and the company does not pay tax. What is the correct interval for the required return on the stock. *

- ○ 8%-10%
- ○ 14%-16%
- ○ 10%-12%
- ◉ 12%-14% ✓

✓ Question 5: In the previous question (4). What is the correct interval for the cost of capital of the company. * 1 point

- ○ 9%-11%
- ◉ 13%-15% ✓
- ○ 11%-13%
- ○ 7%-9%
- ○ 5% - 7%

Feedback

WACC = (E/V * r_{c-t}) + (D/V * r_{p-n}). E/V = 6 / (6/ 4) = 0.60. D/V = 4 / 10 = 0.40, r_0 = 13% (from O4), r_0 = 4%. No tax. Using the values WACC = (0.60 * 13%) + (0.40 * 4%) = 7.8% + 1.6% + 9.4%. This falls within the 8%-11% interval

DMS201 (2026)-Quiz12

Total points: 5/5

The respondent's email **(rhalkabdulsumeer2003@gmail.com)** was recorded on submission of this term.

Name *

Roll no *

240835

✓ 2 point

A project has a forecasted cash flow of $110 in year 1 and $121 in year 2. The risk-free interest rate (r_f) is 5%, the estimated risk premium (r_m–r_f) on the market is 10%, and the project has a beta of .5. What is the correct interval for the cost of capital for the project. *

- (•) 9%-11% ✓
- ( ) 11%-13%
- ( ) 7%-9%
- ( ) 5%-7%

Feedback

Hint: CAPM formula: $r_c = r_f + \beta * (r_m - r_f)$. Using the given values: $r_c = 5\% + 0.5 * 10\% = 10\%$. This falls within the 9%-11% interval.

✓ 1 point

Question 2: In the previous question (1), if you use a constant risk-adjusted discount rate, what is the correct interval for the PV of the project. What is or a certaint of the project. *

- ( ) 210-230
- ( ) 170-190
- ( ) 150-170
- (•) 190-210 ✓

Feedback

WACC and PV formula. Using $r_c = 10\%$ (from Q1): $PV = 110 / 1.10 + 121 / (1.10)^2 = 100 + 100 = 200$. This is within the 190-210 interval.

✓ 1 point

In the previous question (2), if you use a constant risk-adjusted discount rate, what is the correct interval for the certainty equivalent cash flow in year 1. *

- (•) 100-110
- ( ) 120-130
- ( ) 110-120

Feedback

Hint: Certainty Equivalent Method.
PV must be the same:
$PV1 = CEQ1 / (1+r_f)$.
$PV1 = CEQ1 / (1+r_f)$.
$100 = CEQ1 / 1.05$.
$CEQ1 = 105$.
This falls within the 100-110 interval.

✓ Question 4: ✓ 1 point

In the previous question (3), if you use a constant risk-adjusted discount rate, what is the correct interval for the certainty equivalent cash flow in year 2. *

- ( ) 100-110
- (•) 110-120 ✓
- ( ) 120-130
- ( ) 90-100

Feedback

$PV2 = CEQ2 / (1+r_f)^2$.
$100 = CEQ2 / (1.05)^2 = CEQ2 / 1.1025$.
$CEQ2 = 110.25$.
$CEQ2 = 110.25$. This falls within the 110-120 interval.

DMS201 (2025)-Quiz1 Total points 5/5

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll no *

230950

Identify the correct Investment decision * 1/1

- Repayment of interest on the bank loan.
- (selected ✓) Purchasing plant and machinery for the upcoming project.
- Raising funds through Bank loan.
- Raising funds through equity issuance.
- Using cash flow to prepay the debt.

Feedback

Hint: Raising funds through equity issuance, bank loans, repaying interest on bank loan, and prepayment of debt are all financing decisions. Purchasing plant machinery and equipment are all investment related decisions.

Identify the correct Financing decision * 1/1

- Acquisition of a competitor.
- Purchase of plant and machinery to start the operation.
- (selected ✓) Issuing equity to raise funds.
- Invest in Research and Development and Brand building.
- Acquisition of coal mine.

Feedback

Purchase of plant and machinery, investment in R&D, acquisition of coal mine, acquisition of a competitor are all investment related decisions. Issuing equity to raise funds is a financing decision.

Which is the form of organization most suitable for large companies with fragmented shareholders who cannot keep track of day to day firm operations. * 1/1

- None of the above
- Partnership.
- Private Company.
- Proprietorship.
- (selected ✓) Public company.

Feedback

For large companies, with scattered ownership, public listed is the most suitable form as there is separation of ownership and control. And shareholders are not liable for the actions of managers.

Which of the following is not associated with the term "separation of ownership and control." * 1/1

- Managers are responsible for the firm operations and they are different from owners.
- (selected ✓) Managers are also the owners and hence always act in the best interest of the firm.
- Managers may not act in the best interest of the owners.
- The change in ownership does not affect firm operations.

Feedback

Managers are not the owners of the firm (may hold some shares though), thus, may not always act in the best interest of the firm.

Which of the following is the most important goal of a firm and its managers. * 1/1

- Maximizing the profit for the next three years
- Maximizing cash inflows for the next three years
- (selected ✓) Maximizing the firm value (or the share price)
- Maximizing the profit for the current year
- Minimizing expenses for the current year
- Minimizing expenses for the next three years

Feedback

Hint: Maximizing firm value (or share price) is the most important goal and incorporates all the other dimensions (profit, costs, cash inflows, outflows, etc.).

DMS201 (2025)-Quiz2

Total points 4/5

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll no *

230950

✓ Which of the following is an incorrect statement * 1/1

- ○ Present values are obtained by discounting the Future values.
- ○ Safe dollar is worth more than risky dollar.
- ○ Dollar today is worth more than dollar tomorrow
- ◉ A perpetuity of $5000 received infinite number of years in future will have infinite present value. ✓
- ○ As the compounding frequency increases, for a given interest rate the present value will increase.

Feedback

A perpetuity running infinitely in future, when discounted back to present value, will have a finite present value.

✓ Compute the present value of $1 received after 6-years, if your opportunity cost of capital is 12%. The value lies in the following interval * 1/1

- ○ $0.2-$0.3
- ○ $0.1-$0.2
- ○ $0.6-$0.7
- ◉ $0.5-$0.6 ✓
- ○ $0.4-$0.5

Feedback

Present value = 1/1.12^6=0.507

✓ The future value of $125 after one year is $139, what is the appropriate interval for the discount rate (or opportunity cost). * 1/1

- ◉ 8%-12% ✓
- ○ 12%-16%
- ○ 4%-8%
- ○ None of the above
- ○ 0%-4%

Feedback

Hint: 139/(1+r)=125, r= 11.20%

✗ If the opportunity cost of capital is 9%, what is the appropriate interval for the present value of $374 paid at the end of 9th year * 0/1

- ◉ None of the above ✗
- ○ 160-180
- ○ 220-240
- ○ 200-220
- ○ 180-200

Correct answer

- ◉ 160-180

Feedback

Hint: 374/1.09^9= 172.2

✓ The following cash flows are projected on a new firm-venture: $432, $137, $797, by the end of the years 1, 2 and 3 respectively. The opportunity cost of capital is 15%. The present value of these cash flows lie in the following interval. * 1/1

- ○ 1020-1030
- ○ 1010-1020
- ◉ 1000-1010 ✓
- ○ 1030-1040
- ○ 1040-1050

Feedback

Hint: 432/1.15+137/1.15^2+797/1.15^3=1003.28

The respondent's email (shaikabdulsameer2005@gmail.com) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll no *

230950

✓ If the firm chooses a simple payback period as the decision rule, which of the following is not true. * 1/1

- ○ The firm may miss out on many long-lived but positive NPV projects
- ○ The firm may not appropriately account for the risk of these projects
- ○ The firm may not account for the time-value of money
- ◉ The firm will select only long-lived projects with negative NPV ✓
- ○ The firm may choose many short-lived projects, which may also have negative NPVs

Feedback

Hint: If a firm chooses simple payback method, it may choose many short-lived project with negative NPVs. Also, it may miss out many long term project with positive NPVs. The method does not account for the time-value of money. Since, the time value is not considered appropriately, and therefore, the risk of the project is not considered.

✕ Compute the IRR of the project with the following cash flows. * 0/3

Project	C_0	C_1	C_2
A	-6,750	+4,500	+18,000

- ○ 110%-115%
- ○ 85%-95%
- ○ 115%-120%
- ○ 95%-105%
- ◉ 105%-110% ✕

Correct answer

- ◉ 95%-105%

Feedback

NPV=0 =-6750+4500/(1+IRR)+18000/(1+IRR); solving the equation IRR= 100%

✓ What is the effective annual interest rate for 0.5% monthly installments. * 1/1

- ○ 4%-6%
- ◉ 6%-8% ✓
- ○ 2%-4%
- ○ 0%-2%

Feedback

Hint: If a firm chooses simple payback method, it may choose many short-lived project with negative NPVs. Also, it may miss out many long term project with positive NPVs. The method does not account for the time-value of money. Since, the time value is not considered appropriately, and therefore, the risk of the project is not considered.

✕ Compute the IRR of the project with the following cash flows. * 0/3

Project	C_0	C_1	C_2
A	-6,750	+4,500	+18,000

- ○ 110%-115%
- ○ 85%-95%
- ○ 115%-120%
- ○ 95%-105%
- ◉ 105%-110% ✕

Correct answer

- ◉ 95%-105%

Feedback

NPV=0 =-6750+4500/(1+IRR)+18000/(1+IRR); solving the equation IRR= 100%

✓ What is the effective annual interest rate for 0.5% monthly installments. * 1/1

- ○ 4%-6%
- ◉ 6%-8% ✓
- ○ 2%-4%
- ○ 0%-2%

Feedback

Effective Annual Interest (EAI) = (1+0.5/100)^12-1

DMS201-Quiz4

Total points 5/5

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll no *

230950

If market interest rates rise, what happens to bond coupons? * 1/1

- (x) Remain unchanged ✓
- ( ) Rise
- ( ) Cannot say/more information is required
- ( ) Fall

Feedback

Hint: Coupons are fixed at the time of issuance and do not change.

If market interest rates rise, what happens to bond price? * 1/1

- (x) Fall ✓
- ( ) Remain unchanged
- ( ) Cannot say/more information is required
- ( ) Rise

Feedback

If market interest rates rise, the bond prices fall

If market interest rates rise, what happens to bond's yield-to-maturity (YTM)? * 1/1

- (x) Rise ✓
- ( ) Fall
- ( ) Remain unchanged
- ( ) Cannot say/more information is required

Feedback

If the market interest rates rise, the bond's YTM will also rise. For this to happen, bond price needs to fall.

If a bond's coupon rate is higher than its yield to maturity, then the bond will sell for more than face value. * 1/1

- ( ) False
- (x) True ✓
- ( ) Cannot say/more information is required

Feedback

If the coupon rate is higher than the YTM, the bond will sell at premium.

If a bond's coupon rate is lower than its yield to maturity, then the bond's price will increase over its remaining maturity, assuming that interest rates remain constant. * 1/1

- (x) True ✓
- ( ) False
- ( ) Cannot say/more information is required

Feedback

If the bond's coupon rate is lower than YTM its price is lower than face value. At the time of maturity, the bond has to reach its face value, hence, the price will increase over its remaining maturity (Assuming the that interest rate do not change).

* Indicates required question

Email *

- [x] Record **shaikabdulsameer2005@gmail.com** as the email to be included with my response

Name *

Shaik Abdul Sameer

Roll no *

230959

Longer-maturity bonds necessarily have longer durations * 1 point

- (●) False
- ( ) Cannot say/more information is required
- ( ) True

Bonds with long durations have lower volatility (sensitivity to changes in interest rates). * 1 point

- ( ) Cannot say/more information is required
- ( ) True
- (●) False

Bonds with relatively lower coupons have higher volatility (sensitivity to changes in interest rates) * 1 point

- ( ) Cannot say/more information is required
- (●) True
- ( ) False

A zero coupon bond has the same duration as its maturity * 1 point

- ( ) Cannot say/more information is required
- ( ) False
- (●) True

Identify the incorrect statement. * 1 point

- ( ) If a bond's coupon rate is higher than its yield to maturity, then the bond's price will decrease over its remaining maturity.
- (●) Bonds with long durations have lower volatility.
- ( ) A zero coupon bond has the same duration as its maturity.
- ( ) If a bond's coupon rate is lower than its yield to maturity, then the bond's price will increase over its remaining maturity.

DMS201 (2025)-Quiz6

Total points 3/5

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll No *

230950

The observed price is efficient price * — 0/1

- ○ True
- ◉ Can be efficient as well as inefficient ✗
- ○ False

Correct answer

- ◉ False

Feedback

The observed price is inefficient price, which is a mix of true (or fundamental price) and noise.

The efficient price also includes noise * — 1/1

- ○ True
- ◉ False ✓

Feedback

The efficient price only includes fundamental information that affects cash flows.

The true price is more volatile than observed price * — 1/1

- ○ True
- ◉ False ✓

Feedback

True price only includes fundamental information that arrives intermittently; while observed price includes fundamental price along with noise (or sentiment). This sentiment arrives frequently (even second-by-second), and hence, the observed price is more volatile than true price.

The noise in prices is caused by fundamental information * — 1/1

- ○ True
- ◉ False ✓

Feedback

Noise in prices is caused by sentiment/non-fundamental information. This is predominantly driven by trading activity of noise traders and liquidity traders.

Noise traders are motivated by liquidity to trade * — 0/1

- ○ False
- ◉ True ✗

Correct answer

- ◉ False

Feedback

Noise traders have information motive. They feel that they have fundamental information, which they can exploit to make excess returns. However, their information is stale/outdated.

DMS201 (2025)-Quiz7

Total points 5/5

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll no *

230950

✓ In a perfect market with no frictions, all securities in the same risk class, if priced appropriately, should have the same expectations of returns. *1/1

- ○ No
- ◉ Yes ✓
- ○ Cannot say/more information is required

Feedback

If two securities have the same risk, they should have the same expected returns also.

✓ For an investor, who intends to hold the stock for all times to come and not sell it, the appropriate value of this stock is the present value of dividends discounted at the appropriate risk. *1/1

- ◉ Yes ✓
- ○ Cannot say/more information is required
- ○ No

Feedback

If an investors does not intend to sell her stock, then the only possible payoff is dividends, and the present value of those dividends is the value of stock.

✓ If a company does not offer any dividends and plows back all the money, then it should have zero (0) price. *1/1

- ◉ No ✓
- ○ Yes
- ○ Cannot say/more information is required

Feedback

Even if a company is not paying dividends and

DMS201 (2025) Quiz 8

Total points 1/5

No Negative Marking. Each one-minute delay in submission will result in a penalty of 0.5 Marks. Minimum Marks possible marks are 0.

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll no *

230950

Question 1: Current annual yield =10%. A bond with semi-annual coupon (C) of 4% and face value (FV) $100 and 4-years maturity, should be selling at a price that lies in the following interval. *0/1

- ○ 90-95
- ○ 100-105
- ◉ 95-100 ✗
- ○ 105-110

Correct answer

- ◉ 90-95

Feedback

Hint: It should be a discount bond since coupon is less than yield. P_0=C/(1+y_t/2)+C/(1+y_t/2)^2 +C/(1+y_t/2)^3 +C/(1+y_t/2)^4 +C/(1+y_t/2)^5 +C/(1+y_t/2)^6 +C/(1+y_t/2)^7 + (100+C)/(1+y_t/2)^8 = 93.5

Question 2: Current annual yield =10%. A bond is selling with semi-annual coupon (C) of 4% and face value (FV) $100 and 4-years maturity. What is the correct interval for the duration of this bond. *1/1

- ◉ 3-4Years ✓
- ○ 2-3Years
- ○ 1-2Years
- ○ 0-1Years

Feedback

*Hint: D= ∑_(t=1)^T [t*C_t/(1+i)^t]*1/P_0 = [(1*4)/(1+5%)^1 +(2*4)/(1+5%)^2 +(3*4)/(1+5%)^3 +(4*4)/(1+5%)^4 +⋯+(8*104)/(1+5%)^8]/P_0 =6.962 half yearly periods. Or 3.481 years*

Question 3: Current annual yield =10%. A bond is selling with semi-annual coupon (C) of 4% and face value (FV) $100 and 4-years maturity. For a 1% increase in interest rates, what is % decrease in prices *0/1

- ○ 3.00-3.25%
- ○ 3.25-3.50%
- ○ 3.50-3.75%
- ◉ 3.75-4.00% ✗

Correct answer

- ◉ 3.00-3.25%

Feedback

Hint: P_1=C/(1+y_t/2)+C/(1+y_t/2)^2 +C/(1+y_t/2)^3 +C/(1+y_t/2)^4 +C/(1+y_t/2)^5 +C/(1+y_t/2)^6 +C/(1+y_t/2)^7 + (100+C)/(1+y_t/2)^8 = 90.50
% change in price =(90.50-93.54)/93.54= =-3.249%

Question 4: Current annual yield =10%. A bond is selling with semi-annual coupon (C) of 4% and face value (FV) $100 and 4-years maturity. For a 1% decrease in interest rates, what is % increase in prices *0/1

- ○ 3.25-3.50%
- ○ 3.00-3.25%
- ◉ 3.75-4.00% ✗
- ○ 3.50-3.75%

Correct answer

- ◉ 3.25-3.50%

Feedback

Hint: P_1=C/(1+y_t/2)+C/(1+y_t/2)^2 +C/(1+y_t/2)^3 +C/(1+y_t/2)^4 +C/(1+y_t/2)^5 +C/(1+y_t/2)^6 +C/(1+y_t/2)^7 + (100+C)/(1+y_t/2)^8 = 96.70
% change in price =(96.70-93.54)/93.54=3.384%

Question 5: Current annual yield =10%. A bond is selling with semi-annual coupon (C) of 4% and face value (FV) $100 and 4-years maturity. For a 1% increase in interest rates, what is the % decrease in prices as predicted by the Duration measure. *0/1

- ○ 3.50-3.75%
- ○ 3.25-3.50%
- ○ 3.00-3.25%
- ◉ 3.75-4.00% ✗

Correct answer

- ◉ 3.25-3.50%

Feedback

*Hint: (dP_0)/P_0 =-D*d(1+i)/((1+i)) = -6.962*0.5%/(1+10%/2)=-3.32%*

DMS201 (2025) Quiz 9

Total points 4/5

The respondent's email (**shaikabdulsameer2005@gmail.com**) was recorded on submission of this form.

Name *

Shaik Abdul Sameer

Roll No *

230950

✓ A risk neutral person * 1/1

- ○ requires (to derive the same utility) increase in expected outcome if the risk is increased
- ○ Is ok (derives the same utility) with taking more risk, if she is compensated for it with extra outcome
- ◉ Is ok (derives the same utility) with taking Rs 100 with certainty or making a bet that has Rs 100 as expected outcome ✓
- ○ Is ok (derives the same utility) with a lower expected outcome if the expected risk is increased.

Feedback

A risk neutral person is indifferent to risk and is only concerned about the expected outcome. So whether sure short 100 or a gamble with expected income of 100 she is indifferent (i.e., derives the same utility) to both the prospects.

✓ The utility/wealth function of risk neutral person is * 1/1

- ○ Concave
- ◉ Linear ✓
- ○ Convex
- ○ None of the above

Feedback

The utility wealth function of a risk neutral person is straight line. Because, for each delta increase in wealth, she derives the same utility (irrespective of the risk).

✓ Risk preferring person (assuming that the same utility is maintained) * 1/1

- ○ Would take the same amount of money to take excess risk
- ○ Would take more money to take excess risk
- ◉ Would take less amount of money to take excess risk ✓
- ○ None of the above

Feedback

For a risk preferring person, she would derive extra utility from the risk itself. Therefore, would be willing to take less amount of money for excess risk.

✗ The indifference curves on Wealth (y axis) and Risk (x axis) for Risk preferring person will be *0/1

- ◉ Upward slopping ✗
- ○ Horizontal
- ○ Downward

Correct answer

- ◉ Downward

Feedback

Since the risk-preferring person would be willing to stave-off some amount of wealth if higher risk prospect is available, the wealth (y-axis) and risk (x-axis) plot would be downward sloping.

✓ The indifference curves on Wealth (y axis) and Risk (x axis) for Risk Neutral person will be *1/1

- ○ Upward slopping
- ○ Downward Slopping
- ◉ Horizontal ✓

Feedback

For the risk-neutral person, risk is not consideration, so as long as the expected wealth remains the same, utility will remain constant. Hence the wealth (y-axis) and risk (x-axis) plot will be horizontal.

DMS201 (2025) Quiz 10

shaikabdulsameer2005@gmail.com Switch account

Draft saved

* Indicates required question

Email *

- [x] Record shaikabdulsameer2005@gmail.com as the email to be included with my response

Name *

Shaik Abdul Sameer

Roll No *

230950

If market is semi-strong form efficient, then ethically and legally * 1 point

- Make money using private information
- Make money using past price information
- Since I cant beat the market, stay invested in the market
- Make money using public information

Compute the expected return from the information given below 1 point

Probability	Return
10%	5%
20%	8%
30%	10%
10%	12%
15%	13%
15%	15%

- 9.0%-10.0%
- 11.0%-12.0%
- 8.0%-9.0%
- 10.0%-11.0%
- None of the above

In the context of risk-preference, the following is incorrect * 1 point

- The hypothesis of non-satiation (more is preferred to less) is applied to all goods and services that are available for consumption, including financial market securities
- For risk neutral person, U[E(W)] = E[U(W)]
- For risk averse person, U[E(W)] > E[U(W)]
- For risk preferring person, U[E(W)] < E[U(W)]
- None of the above.

The following is not the nature of iso-util (same utility) or indifference curves (Y axis return, X axis Risk) 1 point

- For risk averse individuals, it is rising
- None of the above
- For risk neutral individuals it is horizontal
- For risk loving individuals it is falling

As the compounding frequency increases, the effective returns * 1 point

- None of the above
- Decrease
- Increase